

HAWASSA UNIVERSITY
COLLEGE OF BUSINESS AND ECONOMICS
MANAGEMENT DEPARTMENT
MODEL EXAM ON PRINCIPLES OF MARKETING MANAGEMENT

1. The term marketing refers to:
A. New product concepts and improvements
B. Selling
C. Advertising and promotion activities
D. **A philosophy that stresses customer satisfaction**
Answer: D
2. _____ is a key ingredient in the philosophy of marketing; it occurs when people give up something in order to receive something that they would rather have.
A. **Exchange**
B. Synergy
C. Transformation
D. Leveraging
Answer: A
3. The concept of exchange is important to marketing because:
A. If all the conditions for an exchange are in place, then the exchange will be completed
B. Exchange provides money to marketers
C. **Marketing activities help to create exchange**
D. Marketing activities are a requirement for exchange to take place
Answer: C
4. Which of the following is NOT a marketing management philosophy?
A. Sales orientation
B. Societal marketing orientation
C. Market orientation
D. **Profitability orientation**
Answer: D
5. The _____ orientation assumes people will buy more if aggressive selling techniques are used.
A) Market
B) **Sales**
C) Customer
D) Production
Answer: D
6. A company that has a market orientation and adheres to the marketing concept does NOT:
A) Integrate all the activities of the firm to satisfy customer wants
B) Focus on consumer needs and wants
C) Differentiate the firm's products from its competitor's products
D) **Fuel sales growth through the application of aggressive sales techniques**
Answer: D
7. The statement, "Marketing should be introduced at the beginning rather than the end of the production cycle and integrated into each phase of the business," is consistent with a (n) _____ orientation.
A) Production

B) Market

C) Retail

D) Sales

Answer: B

8. The marketing concept includes a goal orientation to remind managers that:

A) Achieving long-term organizational goals is as important as satisfying customers

B) Customers must be satisfied no matter what the long-term effect on the firm

C) The only reason for any business to exist is to make a profit

D) The objective is to find a target market that differs from that of the competition

Answer: A

9. An organization with a(n) _____ believes that it exists not only to satisfy customer wants and needs and to meet organizational objectives but also to preserve or enhance individuals' and society's long-term best interests.

A) Market orientation

B) Ethical business mission

C) Focused target market strategy

D) Societal orientation

Answer: D

10. _____ is defined as the relationship between benefits and the sacrifice necessary to obtain those benefits.

A) Marketing utility

B) Market quality

C) Satisfaction percentage

D) Customer value

Answer: D

11. When customer expectations regarding product quality, service quality, and value-based price are met or exceeded, _____ is created.

A) A value line

B) A quality rift

C) Planning excellence

D) Customer satisfaction

Answer: D

12. A (n) _____ is a defined group that managers feel is most likely to buy a firm's product.

A) Target market

B) Buying center

C) Aggregated unit

D) Consumer cluster

Answer: A

13. The external environment:

A) Cannot be influenced by marketing managers

B) Does not change over time

C) Does not have an impact on fortune 500 companies

D) Must be continually monitored by marketing managers

Answer: D

14. The external environment is a strong influence on a target market and can be a source of _____ for the marketing manager.

A) Opportunities and threats

- B) Threats and strengths
- C) Environmental loopholes
- D) Opportunities and weaknesses

Answer: A

15. What is apparently the most difficult external variable for marketing managers to forecast, influence, or integrate into marketing plans?

- A) Technology
- B) Social factors
- C) Demography
- D) Competition

Answer: B

16. When a company engages in _____, it is implementing strategies that attempt to shape the external environment in which it operates.

- A) Synergistic control
- B) Environmental management
- C) Transactional management
- D) Market control

Answer: B

17. _____ Factors are the environmental factors concerned with the changes in people's values, lifestyles, and family roles.

- A) Social
- B) Economic
- C) Political
- D) Competitive

Answer: A

18. The study of people's vital statistics, such as their ages, births, deaths, and locations, is called:

- A) Cultural sociology
- B) Psychometrics
- C) Ecology
- D) Demography

Answer: D

19. Factors, such as interest rates, inflation, and consumer income that influence the marketing environment, are called _____ factors.

- A) Economic
- B) Socio-demographic
- C) Political
- D) Government

Answer: A

20. Laws and regulations of various governments and their ongoing development and change are an example of _____ factors and are part of all organizations' external environment.

- A) Economic investment
- B) Political and legal
- C) Research and development
- D) Competitive

Answer: B

21. _____ is a strategy of increasing market share for present products in existing markets.

- A) Market penetration

- B) Product development
- C) Market development
- D) Diversification

Answer: A

22. _____ is a strategy that attracts new customers to existing products.

- A) Product development
- B) Market development
- C) Market penetration
- D) Product penetration

Answer: B

23. _____ is a strategy that creates new products for present markets.

- A) Product penetration
- B) Market penetration
- C) Product development
- D) Market development

Answer: C

24. _____ is the strategy of increasing sales by introducing new products into new markets.

- A) Product development
- B) Market penetration
- C) Market development
- D) Diversification

Answer: D

25. A (n) _____ describes and estimates the size and sales potential of market segments of interest to the firm and assesses key competitors in these market segments.

- A) Marketing orientation
- B) Environmental scan
- C) Target market strategy
- D) Market opportunity analysis

Answer: D

26. The _____ is the unique blend of product, distribution, promotion, and pricing strategies designed to produce mutually satisfying exchanges with a target market.

- A) Internal environmental mix
- B) Marketing mix
- C) Product mix
- D) Product line

Answer: B

27. At what stage of the new-product development process are most new-product ideas rejected?

- A) Test marketing
- B) Diffusion
- C) Business analysis
- D) Idea screening

Answer: D

28. _____ evaluate new-product ideas usually before any prototype has been created.

- A) Concept tests
- B) Simulated market tests
- C) Market tests
- D) User tests

Answer: A

29. In the _____ stage of new-product development, the technical feasibility of manufacturing the new product is examined as a prototype is produced.
- A) Screening
 - B) Product Development**
 - C) Market testing
 - D) Concept testing
- Answer: B**
30. _____ is a limited introduction of a product and a marketing program to determine the reactions of potential customers in a market situation.
- A) Use testing
 - B) Test marketing**
 - C) Concept testing
 - D) Laboratory testing
- Answer: B**
31. The final stage in the new-product development process is:
- A) Product testing
 - B) Market testing
 - C) Commercialization**
 - D) Product prototyping
- Answer: C**
32. During the _____ stage of the new-product development process, production starts, inventories are built up, the product is shipped to distribution points, the sales force is trained, and advertising and promotion begin.
- A) Commercialization**
 - B) Product testing
 - C) Market analysis
 - D) Product prototyping
- Answer: A**
33. A product that is perceived as new by a potential adopter, whether the product is “new to the world” or simply new to the individual, is called a(n):
- A) Innovation**
 - B) Diffusion
 - C) Discontinuous product
 - D) Simulated new product
- Answer: A**
34. A (n) _____ is a subgroup of individuals or organizations sharing one or more characteristics that cause them to have similar product needs.
- A) Market universe
 - B) Market segment**
 - C) Aggregated market
 - D) Segmentation base
- Answer: B**
35. The steps of the consumer decision-making process in order are:
- A) Need recognition, alternative aggregation, reevaluation, purchase decision, post purchase behavior
 - B) Need positioning, stimulus response reactions, evaluation of alternatives, purchase decision, post purchase behavior

C) Need positioning, alternative aggregation and divestment, purchase decision, post purchase evaluation

D) Need recognition, information search, evaluation of alternatives, purchase, and post purchase behavior

Answer: D

36. Which step in the consumer decision-making process is a result of an imbalance between actual and desired states?

A) Want recognition

B) Purchase

C) Need recognition

D) Post purchase behavior

Answer: C

37. Which of the following is any unit of input affecting one or more of the five senses: sight, smell, taste, touch, and hearing?

A) Tactic

B) Need

C) Stimulus

D) Want

Answer: C

38. After a need or want is recognized, a consumer may search for information about the various alternatives available to satisfy it. This occurs during which part of the consumer decision-making process?

A) Evaluation of alternatives

B) Information search

C) Cognitive dissonance

D) Consideration stage

Answer: B

39. All of the following are ways consumers can reduce cognitive dissonance EXCEPT:

A) Justifying the decision

B) Seeking new information

C) Sending a letter to the marketer

D) Avoiding contradictory information

Answer: C

40. How can marketers reduce consumers' cognitive dissonance?

A) Offer guarantees

B) Offer sales promotions

C) Avoid contradictory information

D) Change the product

Answer: A

41. _____ is the amount of time and effort a buyer invests in the search, evaluation, and decision processes of consumer behavior.

A) Economic value

B) Involvement

C) Opportunity cost

D) Temporal cost

Answer: B

42. The types of products people purchase using routine response behavior are typically:

A) Frequently purchased, low-cost items

- B) Frequently purchased, high-cost items
- C) Infrequently purchased, low-cost items
- D) Infrequently purchased, high-cost items

Answer: A

43. All of the following factors directly influence consumers' level of involvement in the purchase process EXCEPT:

- A) Consumer's age
- B) Previous experience with the product
- C) Financial risk associated with the product
- D) Social visibility of the purchased item

Answer: A

44. An enduring belief that a specific mode of conduct is personally or socially preferable to an alternative mode of conduct is called a(n):

- A) Lifestyle
- B) Self-concept
- C) Attitude
- D) Value

Answer: D

45. Social influences on consumer buying decisions include:

- A) Society, culture, and family
- B) Reference groups, society, opinion leaders, and family
- C) Personality, lifestyle, and reference groups
- D) Reference groups, opinion leaders, and family

Answer: D

46. A group in society, such as family, friends, or a professional organization, that influences an individual's purchasing behavior is called a(n):

- A) Reference group
- B) Conformist group
- C) Opinion group
- D) Social group

Answer: A

47. Reference groups can be categorized very broadly as either:

- A) Primary or secondary
- B) Persuasive or non-persuasive
- C) Direct or indirect
- D) Positive or negative

Answer: C

48. A value or attitude deemed acceptable by a group is called a(n):

- A) Expectation
- B) Reference
- C) Aspiration
- D) Norm

Answer: D

49. Opinion leaders are:

- A) Wealthy, well-educated individuals
- B) Experts on all high-involvement consumer goods
- C) Usually the same individuals for all social classes
- D) People who influence others

Answer: D

50. Cultural values and norms are passed down to children through the process of:

- A) Accumulation
- B) Encroachment
- C) Assimilation
- D) Socialization

Answer: D

51. All of the following are individual factors influencing consumer buying decisions EXCEPT:

- A) Gender
- B) Age
- C) Family
- D) Personality

Answer: C

52. _____ is not a part of the external marketing environment.

- A) Political.
- B) Legal.
- C) Product.
- D) Socio-cultural

Answer: C

53. The middlemen who do not take any title to goods

- A) Retailer.
- B) Wholesaler.
- C) Agent.
- D) Commission houses

Answer: C

54. _____ are the basic human requirements

- A) Needs.
- B) Wants.
- C) Luxuries.
- D) Offerings

Answer: A

55. The direct channel has the limitation of _____.

- A) Market exploitation.
- B) Communication.
- C) Control.
- D) Cost

Answer: D

56. This marketing component is most likely to be standardized _____

- A) Brand.
- B) Price.
- C) Advertising.
- D) Distribution

Answer: D

57. Marketing utility consists of _____.

- A) Price.
- B) Place, price.
- C) Product, place, price and profit.
- D) Product, Price, place, promotion

Answer: D

58. A place for buying and selling activities is called _____.

- A) Market.
- B) Marketing.
- C) Market research.
- D) Market information

Answer: A

59. The exchange value of a good service in terms of money is_____.

- A) Price.
- B) Product.
- C) Buying.
- D) Selling

Answer: A

60. Selling the same product at different prices is known as_____.

- A) Price lining.
- B) Dynamic pricing.
- C) Geographical pricing.
- D) Monopoly pricing

Answer: B

61. Which of the following involves designing and manufacturing the container or wrapper for a product?

- A) Labeling
- B) Packaging
- C) Branding
- D) Product line

Answer: B

62. The promotion “P” of marketing is also known as _____.

- A) Product Differentiation
- B) Distribution
- C) Cost
- D) Marketing Communication

Answer: D

63. Bread and milk are which kind of products?

- A) Specialty Products
- B) Convenience products
- C) Shopping products
- D) Unsought products

Answer: D

64. A Product life cycle includes

- A) Introduction stage, Maturity stage, Growth stage, Decline stage
- B) Decrease stage, introduction stage, increase stage, decline stage
- C) Introduction stage, Growth stage, Decline stage, Maturity stage
- D) Introduction stage, Growth stage, Maturity stage, Decline stage

Answer: D

65. Which of the following is NOT an element of the marketing mix?

- A) Distribution
- B) Product
- C) Target market

D)Pricing

Answer: C

66. _____ is the collection and interpretation of information about forces, events, and relationships that may affect the organization.

A)Environmental scanning

B) Stakeholder analysis

C)Market sampling

D)Opportunity analysis

Answer: A

67. Which of the following is typically NOT a result of recognizing the importance of ethnic groups by marketers?

A)Use of an undifferentiated one-size-fits-all marketing strategy

B) Different pricing strategies for different groups

C) Variations in product offerings to suit the wants of a particular group

D)Study of ethnic buying habits to isolate market segments

Answer: A

68. When companies make marketing decisions by considering consumers' wants and the long-run interests of the company, consumer, and the general population, they are practicing which of the following principles?

A)Innovative marketing

B) Consumer-oriented marketing

C) Value marketing

D)Societal marketing

Answer: D

69. The use of price points for reference to different levels of quality for a company's related products is typical of which product-mix pricing strategy?

A)Optional-product pricing

B) Captive-product pricing

C)By-product pricing

D)Product line pricing

Answer: D

70. _____ is the concept under which a company carefully integrates and coordinates its many communications channels to deliver a clear, consistent, and compelling message about the organization and its products.

A)The promotion mix

B) Integrated international affairs

C)Integrated marketing communications

D)Integrated demand characteristics

Answer: D

71. The _____ holds that consumers will favor products that are available and highly affordable (therefore, work on improving production and distribution efficiency).

A)Product concept

B) Production concept

C)Production cost expansion concept

D)Marketing concept

Answer: A

72. The term marketing refers to--

A)New product concepts and improvements

- B) Advertising and promotion activities
- C) A philosophy that stresses customer value and satisfaction**
- D) Planning sales campaigns

Answer: C

73. The term "marketing mix" describes--

- A) A composite analysis of all environmental factors inside and outside the firm
- B) A series of business decisions that aid in selling a product
- C) The relationship between a firm's marketing strengths and its business weaknesses
- D) A blending of four strategic elements to satisfy specific target markets**

Answer: D

74. Newsletters, catalogues, & invitations to organization-sponsored events are most closely associated with the marketing mix activity of---

- A) Pricing
- B) Distribution
- C) Product development

D) Promotion

Answer: D

75. Assume you are in charge of the politically-mandated process of converting the economy of a developing African nation from state-controlled to market-driven business ventures. Your ability to control _____ will most likely determine the future success of the country & its government.

- A) The culture
- B) Marketing**
- C) Technology
- D) Competitive environment

Answer: B

76. A marketing philosophy summarized by the phrase "a good product will sell itself" is characteristic of the _____ period.

- A) Production**
- B) Sales
- C) Marketing
- D) Relationship

Answer: A

77. Communication activities which provide incentives to consumer is known as _____

- A) Advertising
- B) Direct Marketing
- C) Sales Promotion**
- D) Publicity

Answer: C

78. Merchandise allowance is a _____ technique.

- A) Consumer promotion Techniques
- B) Trader Promotion Techniques**
- C) Sales Force Promotion Technique
- D) Pull Promotion Technique

Answer: B

79. The additional amount of money consumers are willing to pay for a brand is known as _____

- A) Brand loyalty

- B) Brand association
- C) Brand Equity**
- D) Brand awareness

Answer: C

80. Sales persons who want for the sales to come to them is known as

- A) Transactional**
- B) Closers
- C) Relational
- D) Consultants

Answer: D

81. The process which consists of 6 stages; prospecting, pre-approach, approach, presentation, close, and follow-up is called the:

- A) Product Marketing Process
- B) Direct Marketing process
- C) Personal selling process**
- D) Purchase decision process

Answer: C

82. Excuses for NOT making a purchase commitment or decision are called

- A) Constraints
- B) Interventions
- C) Troubles
- D) Objections**

Answer: D

83. The final stage in the personal sales process is the stage

- A) Follow-up**
- B) Assumptive close
- C) Trial Close
- D) Presentation

Answer: A

84. AIDA stands for Awareness, _____, Desire and _____.

- A) Interest; Action**
- B) Idea; Approach
- C) Intensity; Appeal
- D) Involvement; Appeal

Answer: A

85. A consumer contest is an example of _____.

- A) Personal Selling
- B) Sales Promotion**
- C) Advertisement
- D) Indirect Selling

Answer: B

86. Makers of televisions, cameras, tires, furniture, and major appliances normally use which of the following distribution channel forms?

- A) Direct marketing channel
- B) Indirect marketing channel**
- C) Horizontal channel
- D) Synthetic channel

Answer: B

87. _____ is a marketing channel that has no intermediary levels.
- A) Direct marketing channel
 - B) Indirect marketing channel
 - C) Forward channel
 - D) Hybrid channel
- Answer: A
88. Which of the following is not a promotion mix?
- A) Sales promotion.
 - B) Personal selling.
 - C) Forecasting.
 - D) Advertising
- Answer: C
89. Two main components of sales promotion are _____.
- A) Trade promotion and consumer promotion.
 - B) Marketing promotion and sales promotion.
 - C) Consumer promotion and marketing promotion.
 - D) Consumer promotion and Sales promotion.
- Answer: C
90. Marketing and selling are _____.
- A) Same.
 - B) Different.
 - C) Almost same
 - D) Fully varies
- Answer: B
91. The words used to convey the advertisement idea is _____.
- A) Advertisement.
 - B) Advertisement Research.
 - C) Advertisement copy.
 - D) Advertisement budget
- Answer: C
92. Advertisement promotes _____.
- A) Purchases.
 - B) Production.
 - C) Sales.
 - D) Price
- Answer: C
93. Agricultural products are _____.
- A) Perishable.
 - B) Highly priced.
 - C) Low quality products.
 - D) Heterogeneous goods
- Answer: D
94. The social aspect of marketing is to ensure _____.
- A) Price.
 - B) Demand.
 - C) Low price with high quality.
 - D) Service goods
- Answer: D

95. The typical method of retail operation used by supermarkets and catalog showrooms is called:
- A) Self-service retailing.
 - B) Limited service retailing.
 - C) Full service retailing.
 - D) Service merchandiser
- Answer: C
96. Marketing creates profit by creating _____ to the buyer.
- A) Value.
 - B) Money.
 - C) Product.
 - D) Price
- Answer: D
97. _____ needs the interest of the buyer.
- A) Product.
 - B) Sales.
 - C) Production.
 - D) Manufacturing
- E) Answer: D
98. _____ includes the configuration of benefits, value, cost and satisfaction
- A) Demand.
 - B) Innovation.
 - C) Creativity.
 - D) Invention.
- Answer: A
99. All companies strive to build _____ strength.
- A) Brand.
 - B) Image.
 - C) Customer.
 - D) Employee
- Answer: A
100. Which one of the following is not one of the P s of marketing?
- A) Product.
 - B) Price.
 - C) Place.
 - D) Production
- Answer: D
101. Which of the following best identifies how marketing must be understood today?
- A) Satisfy customer needs.
 - B) Marketing.
 - C) Selling.
 - D) Behavior
- Answer: D
102. A _____ is a trade of value between two or more parties.
- A) Transaction.
 - B) Exchange.
 - C) Transfer.
 - D) Prospecting

Answer: A

103. Which concept holds that consumers will not buy enough of organizations product unless it takes large scale selling and promotion effort?

- A) Marketing.
- B) Selling.
- C) Production.
- D) Product

Answer: B

104. _____ includes that other company s offering similar products & services to the same customer at similar prices.

- A) Supply Chain.
- B) Competition.
- C) Product.
- D) Price

Answer: C

105. ._____ consists of a group of customers who share a similar set of wants

- A) Micro Marketing
- B) Mass Marketing.
- C) Market Segment.
- D) Market targeting

Answer: A

106. The starting point for discussing segmentation is _____.

- A) Segregation.
- B) Positioning.
- C) Target marketing.
- D) Demography

Answer: A

107. Need become _____ when they are directed to specific objects that might satisfy the need.

- A) Wants
- B) Needs
- C) Demand.
- D) Flexibility

Answer: A

108. A marketer is someone seeking a response from another party called _____.

- A) Marketer.
- B) Prospect.
- C) Supplier.
- D) Distributor

Answer: B

109. _____ are wants for specific products that are backed up an ability and willingness to buy them.

- A) Demand.
- B) Wants.
- C) Needs.
- D) Desire

Answer: A

110. Which is intangible among the following?

- A) Product.

B) Services.

C) Goods

D) Sales

E) Answer: B

111. _____ emerges when people decide to satisfy and want through exchange.

A) Marketing.

B) Sales.

C) Purchase.

D) Accounting

Answer: B

112. _____ Concept holds consumers will favors those products that offer the most quality or performance.

A) Product.

B) Selling.

C) Production.

D) Sales

Answer: A

113. _____ Concept holds that consumers will favor those products that are conveniently available in adequate quantity and affordable.

A) Product.

B) Production.

C) Selling.

D) Buying

Answer: B

114. ._____ Concepts holds that consumers if left alone will ordinarily not buy enough of the organizations products.

A) Marketing.

B) Product.

C) Selling.

D) Buying

Answer: A

115. ._____ involves managing demand, which in turn involves managing customer relationship.

A) Marketing management.

B) Direct marketing.

C) Production management.

D) Advertising

Answer: A

116. At which stage in the International Trade Cycle does a country usually import foreign goods?

A) Introduction stage.

B) Growth stage.

C) Maturity stage.

D) Saturation stage

Answer: B

117. Which stage of the product lifecycle is marked by falling costs and rising revenues?

A) Introduction stage.

B) Growth stage.

- C) Maturity stage.
- D) **Saturation stage**

Answer: D

118. The usual source for new products is_____.

- A) **Marketing research**
- B) R&D.
- C) Accidental discoveries.
- D) A variety of sources including customers, competitors, serendipity and formal processes

Answer: A

119. The term marketing refers to_____.

- A) New product concepts and improvements.
- B) Advertising and promotion activities.
- C) **A philosophy that stresses customer value and satisfaction.**
- D) Planning sales campaigns

Answer: C

120. A marketing philosophy summarized by the phrase a good product will sell itself is Characteristic of the_____ period.

- A) **Production.**
- B) Sales.
- C) Marketing.
- D) Relationship

Answer: A

121. An organization with an_____ orientation assumes that customers will resist purchasing Products not deemed essential. The job of marketers is to overcome this resistance through personal selling and advertising.

- A) Production.
- B) **Marketing.**
- C) Relationship.
- D) Sales

Answer: B

122. In the relationship marketing firms focus on_____ relationships with_____.

- A) Short term customers and suppliers.
- B) Long term customers and suppliers.
- C) Short term and customers.

D) Long term and customers

Answer: D

123. Which of the following is NOT an element of the marketing mix?

- A) Distribution.
- B) Product.
- C) **Target market.**
- D) Pricing

Answer: C

124. The term marketing mix describes _____.

- A) **A composite analysis of all environmental factors inside and outside the firm.**
- B) A series of business decisions that aid in selling a product.
- C) The relationship between firms marketing strengths and its business weaknesses.
- D) A blending of four strategic elements to satisfy specific target marker

Answer: A

125. Newsletters, catalogues, & invitations to organization-sponsored events are most closely associated with the marketing mix activity of _____.
A) Pricing.
B) Distribution.
C) Product development.
D) Promotion
Answer: D
126. A market with which of the following characteristics would generally be less competitive?
A) High barriers to entry.
B) Lots of potential substitutes exist.
C) Strong bargaining power among buyers.
D) Strong bargaining power among suppliers
Answer: C
127. The process of anticipating future events and conditions and determining the best way to achieve organizational objectives is known as _____.
A) Researching.
B) Planning.
C) Controlling.
D) Managing
Answer: B
128. Which one of the following best describes the present value of the stream of future profits expected over the customer's life time purchase?
A) Customers Life time value.
B) Suppliers Life time Value.
C) Company's life time value.
D) Future value
Answer: A
129. Market expansion is usually achieved by _____.
A) More effective use of distribution.
B) More effective use of advertising
C) By cutting prices.
D) Cutting Sales
Answer: B
130. The following are all major stages of a product life cycle except _____.
A) Sales decline.
B) Market maturity.
C) Market Introduction.
D) Market Growth
Answer: C
131. Techniques of sales promotions except one _____.
A) Free samples.
B) Free offers.
C) Merchandising.
D) Increasing price
Answer: D
132. A _____ is a set of segments sharing some exploitable similarity.
A) Over segment.

- B) Counter segment.
- C) Super segment.
- D) Selection segment

Answer: A

133. The firm must consider whether investing in the segment makes sense giving the firm _____ and _____.

- A) Knowledge & objective.
- B) Objective & resource.
- C) Knowledge & resource.
- D) Awareness & resource

Answer: A

134. _____ And _____ are the major factors influencing the selection of suppliers.

- A) Price and Quantity
- B) Price and Quality.
- C) Price and Delivery.
- D) Quantity and Delivery

Answer: C

135. Promotion mix includes Sales Promotion, Personal Selling, Advertising and

- A) Marketing
- B) Sales
- C) Publicity
- D) Product

Answer: C

136. Copy testing is also known as

- A) Pre-Testing
- B) Copy writing
- C) Concurrent testing
- D) Preview

Answer: A

137. Consumer promotion, trade promotion and _____ are the three forms of sales promotion

- A) Media Promotion
- B) Sales Force Promotion
- C) Core Promotion
- D) Media Mix

Answer: B

138. _____ Media can give 24 hour exposure to the public eye.

- A) Television
- B) Print
- C) Internet
- D) Advertising or Flex Board

Answer: D

139. It is popularly known as free form of promotion

- A) Advertisement
- B) Publicity
- C) Personal Selling
- D) Marketing

Answer: B

140. Which among the following is a Pull Strategy?

- A) Trade promotion
- B) Consumer Promotion**
- C) Sales Force Promotion
- D) None of these

Answer: B

141. If a company gives false message to the customers, it is known as

- A) Obscene ads
- B) Subliminal ads
- C) Deception**
- D) Bonus

Answer: C

142. The strategy that encourages dealers and distributors to sell a product is known as

- A) Push**
- B) Pull
- C) Combination
- D) Marketing

Answer: A

143. Creating image of product in the minds of target group is called

- A) Marketing
- B) Positioning**
- C) Branding
- D) Popularizing

Answer: B

144. The process of purchasing space in a media is

- A) Media Spacing
- B) Media Scheduling
- C) Media Purchasing
- D) Media Buying**

Answer: D

145. The plan that show time, date and frequency of an advertisement is

- A) Media Plan
- B) Media Schedule**
- C) Media Time
- D) Media Space

Answer: B

146. Series of advertisement messages that share a single idea or theme is

- A) Advertisement Campaign**
- B) Advertisement Group
- C) Advertisement Cluster
- D) Advertisement Series

Answer: A

147. A series of actions that media planners take to attain the media objectives

- A) Media Function
- B) Media Strategy**
- C) Media Policy
- D) Media Option

Answer: B

148. The combination of media used for advertising in a target market is

- A)Media Mix
- B)Market-Media Match
- C)Media Advertising
- D)Media Option

Answer: A

149. Selection of most appropriate cost-effective medium in advertisement is

- A)Media Buying
- B)Media Scheduling
- C)Media Purchasing
- D)Media Selection

Answer: D

150. Direct mail advertising sends messages through

- A)Audio
- B)Video
- C)Mail
- D)Video and Audio

Answer: C

151. Which of the following is more of personal medium of advertisement?

- A)Internet Advertisement
- B)Broadcast Media
- C)Direct Mail Advertising
- D)Print Media

Answer: C

152. Independent organization of creative people for advertisement and promotional tools are called

- A)Advertisement Makers
- B)Advertisement Creators
- C)Advertisement Developers
- D)Advertisement Agency

Answer: D

153. Which tool of the promotional mix consists of short-term incentives to encourage the purchase or sale of a product or service?

- A)Advertising
- B)Public relations
- C)Direct marketing
- D)Sales promotion

Answer: D

154. If a company wants to build a good “corporate image,” it will probably use which of the following marketing communications mix tools?

- A)Advertising
- B)Public relations
- C)Direct marketing
- D)Sales promotion

Answer: B

155. _____ is direct communications with carefully targeted individual consumers to obtain an immediate response.

- A)Personal selling
- B)Public relations

C) **Direct marketing**

D) Sales promotion

Answer: C

156. Which of the following promotional forms is often described as being too impersonal and only a one-way communication form?

A) **Advertising**

B) Personal selling

C) Public relations

D) Sales promotion

Answer: A

157. The promotion tool that may include coupons, contests, premiums, and other means of attracting consumer attention is best described as being which of the following?

A) Advertising

B) Personal selling

C) Public relations

D) **Sales promotion**

Answer: D

158. A _____ is a promotion strategy that calls for using the sales force and trade promotion to move the product through channels.

A) **Push strategy**

B) Pull strategy

C) Blocking strategy

D) Integrated strategy

Answer: A

159. Which of the following strategies is usually followed by B2C companies with respect to promotion strategy?

A) Push strategy

B) **Pull strategy**

C) Blocking strategy

D) Integrated strategy

Answer: B

160. Marketing management must make four important decisions when developing an advertising program. All of the following would be among those decisions EXCEPT:

A) Setting advertising objectives.

B) **Conducting advertising culture audit**

C) Setting the advertising budget.

D) Developing advertising strategy

Answer: B

161. The first step in developing an advertising program should be to:

A) **Set advertising objectives.**

B) Set the advertising budget.

C) Evaluate advertising campaigns.

D) Develop advertising strategy

Answer: A

162. A specific communication task to be accomplished with a specific target audience during a specific period of time is called an:

A) Advertising campaign.

B) **Advertising objective.**

- C) Advertising criterion.
- D) Advertising evaluation

Answer: B

163. Which of the following WOULD NOT be one of the primary advertising objectives as classified by primary purpose?

- A) To inform
- B) To persuade
- C) To remind

D) To make profits

Answer: D

164. _____ is used heavily when introducing a new product category.

- A) Persuasive advertising
- B) Inferential advertising
- C) Reminder advertising
- D) Informative advertising

Answer: D

165. Keeping consumers thinking about the product is the objective for which type of advertising?

- A) Informative advertising.
- B) Psychological advertising.
- C) Reminder advertising.
- D) Persuasive advertising

Answer: C

166. Determining the promotion budget on the basis of financial availability of capital is characteristic of which of the following budget methods?

- A) Affordable method
- B) Percentage-of-sales method
- C) Competitive-parity method
- D) Objective-end-task method

Answer: A

167. Setting the promotion budget so as to match the budgets of the competitors is characteristic of which of the following budget methods?

- A) Affordable method
- B) Percentage-of-sales method
- C) Competitive-parity method
- D) Objective-end-task method

Answer: C

168. _____ are vehicles or channels through which the advertising messages are transmitted to target consumers so that the desired action may be induced at the consumer level

- A) Advertisement media
- B) Advertisement copy
- C) Advertising layout
- D) Teaser advertisements

Answer: A

169. _____ is a plan of presenting the message in a more specific and compact form within the advertising space available to the target consumers

- A) Advertisement media
- B) Advertisement copy

- C) Advertising layout
- D) Teaser advertisements

Answer: C

170. All of the following methods are used for evaluating advertising effectiveness EXCEPT:

- A) Pre- test
- B) Post- test
- C) Concurrent test
- D) Marginal test

Answer: D

171. All of the following methods are considered to be concurrent testing methods EXCEPT:

- A) Consumer diaries
- B) Co-incidental surveys
- C) Readability studies
- D) Electronic devices

Answer: C

172. The central theme of an advertisement that motivates the consumer to make a purchase decision is?

- A) Advertising appeal
- B) Advertisement script
- C) Slogan
- D) Headline

Answer: A

173. Which among the following is not an essential of advertising appeal?

- A) It must be conceptually sound
- B) It must be interesting
- C) It must be economical
- D) It must be complete

Answer: C

174. The type of appeal which is related to a person's psychological and social needs for purchasing products and services?

- A) Rational appeal
- B) Emotional appeal
- C) Moral appeal
- D) Humour appeal

Answer: B

175. Mr. X is thinking about opening a new hardware & home improvement store in a community that research has shown needs more outlets. On which area of the marketing mix should he focus his attention?

- A) Production
- B) Product
- C) Promotion
- D) Distribution

Answer: D

176. Mr. Y's job is to decide whether her company's advertising money will be spent on television, radio, or direct mail. To which of the 4-P's do Mr. Y's a duty relate?

- A) Publicity
- B) Price
- C) Promotion

D) Place

Answer: C

177. Mr. XYZ must make a quick change to his marketing plan to boost sales, so he should change the _____ element of the marketing mix.

A) Product

B) Place

C) Price

D) Promotion

Answer: C

178. Anything that can be offered to a market for attention, acquisition, use, or consumption that might satisfy a want or need is called a(n):

A) Idea.

B) Demand.

C) Product.

D) Need

Answer: C

179. _____ consists of dividing a market into distinct groups of buyers on the basis of needs, behavior that might require separate products or marketing mixes.

A) Product differentiation

B) Market segmentation

C) Market targeting

D) Market positioning

Answer: B

180. _____ is the process of evaluating each market segment's attractiveness and selecting one or more segments to enter.

A) Mass marketing

B) Market segmentation

C) Market targeting

D) Market positioning

Answer: C

181. The fact that services are sold, produced & consumed at the same time refers to which of the following service characteristics?

A) Intangibility

B) Inseparability

C) Variability

D) Perishability

Answer: B

182. The stage in the product life cycle that focuses on expanding market and creating product awareness and trial is the:

A) Decline stage.

B) Introduction stage.

C) Growth stage.

D) Maturity stage

Answer: B

183. A (n) _____ is a name, term, sign, symbol, or design, or a combination of these that identifies the maker or seller of a product or service.

A) Product feature

B) Sponsorship

C) Brand

D) Logo

Answer: C

184. A _____ is any activity or benefit offered for sale that is essentially intangible and does not result in the ownership of anything.

A) Demand

B) Basic staple

C) Product

D) Service

Answer: D

185. A company is in the _____ stage of the new product development process when the company develops the product concept into a physical product in order to assure that the product idea can be turned into a workable product.

A) Product development

B) Commercialization

C) Marketing strategy

D) Business analysis

Answer: A

186. Technological advances, shifts in consumer tastes, and increased competition, all of which reduce demand for a product are typical of which stage in the PLC?

A) Decline stage

B) Introduction stage

C) Growth stage

D) Maturity stage

Answer: C

187. Adam attempts to deliver customer satisfaction every day in his Audio Expressions installation business. He is a smart operator who knows that the key to this goal is to match ____ with ____.

A) Customer expectations; competitive prices

B) Company performance; competitive prices

C) Customer expectations; company performance

D) Company performance; unique products

Answer: C

188. All of the following are associated with highly satisfied customers except one.

A) They are fewer prices sensitive.

B) They remain loyal for a longer period.

C) They spend a higher percentage of their discretionary income on personal items.

D) They talk favorably to others about the company and its products

Answer: A

189. Setting low price and aiming to enlarge market share is:

A) Market-penetration pricing

B) Market-skimming pricing

C) Markup pricing

D) Perceived-value pricing

Answer: A

190. Costs vary directly with the level of production.

A) Variable cost

- B) Fixed cost
- C) Total cost
- D) Average cost

Answer: A

191. The most significant factor that may affect pricing decisions is:

- A) Government price controls
- B) Promotional costs
- C) Production costs
- D) The demand for a product

Answer: C

192. Products in the _____ stage of the PLC are typically recognized by their aggressive promotional pricing tactics:

- A) Introduction
- B) Growth
- C) Maturity
- D) Decline

Answer: D

193. _____ are products bought by individuals and organizations for further processing or for use in conducting a business.

- A) Consumer products
- B) Services
- C) Industrial products
- D) Specialty products

Answer: C

194. When a company reviews sales, costs, and profit projections for a new product to find out whether these factors satisfy the company's objectives, they are in which of the following new process development stages?

- A) Commercialization.
- B) Business analysis.
- C) Concept development & testing.
- D) Marketing strategy development

Answer: B

195. _____ is screening new-product ideas in order to spot good ideas & drop poor ones as soon as possible.

- A) Idea generation
- B) Concept development and testing
- C) Idea screening
- D) Brainstorming

Answer: C

196. When Positive Image, Inc., caters to clothing, cosmetics, and toiletries markets, it is most likely using which type of segmentation?

- A) Age and life cycle
- B) Gender
- C) Behavior
- D) Psychographic

Answer: B

197. The division of buyers into groups based on their knowledge, attitudes, responses, or uses to a product is _____ segmentation.
- A) Behavioral
 - B) Psychographic
 - C) Age and life cycle
 - D) Demographic
- Answer: A
198. When a business market segment is large enough to serve, it is termed _____.
- A) Measurable
 - B) Accessible
 - C) Substantial
 - D) Actionable
- Answer: C
199. Which is intangible among the following?
- A) Product.
 - B) Services.
 - C) Products & services.
 - D) Sales
- Answer: B
200. Creating image of product in the minds of target group is called
- A) Marketing
 - B) Positioning
 - C) Branding
 - D) Popularizing
- Answer: B
201. Searching and identifying potential buyers for a product is ____
- A) Selling
 - B) Prospecting
 - C) Compelling
 - D) Canvasing
202. Colgate is offering scholarships worth one lakh rupees to Indian students. This highlights
- A) Advertising clutter
 - B) Corporate Social Responsibility
 - C) Advertising revolution
 - D) Mass advertising
203. Advertisement aims at _____
- A) Product selling
 - B) Marketing
 - C) Customer relations
 - D) Mass communication
204. _____ is directed towards consumers and traders with the intention to increase immediate or short term sales.
- A) Advertising
 - B) Direct selling
 - C) Sales Promotion
 - D) Publicity

205. The basic objective of push strategy is to encourage the _____
- A) Consumer
 - B) **Middlemen**
 - C) Producer
 - D) Public
206. The reduction in the price of a product for a short span of time is known as _____
- A) Rebate
 - B) Free Offer
 - C) **Price off offer**
 - D) Trade offer
207. _____ is a non-paid form of promotion
- A) Advertising
 - B) Direct Marketing
 - C) Sales Promotion
 - D) **Publicity**
208. _____ is the oral communication with potential buyers of a product with the intention of making a sale.
- A) **Personal Selling**
 - B) Direct Marketing
 - C) Sales Promotion
 - D) Publicity
209. _____ is a measure of attachment that a consumer has to a brand.
- A) **Brand loyalty**
 - B) Brand association
 - C) Brand Equity
 - D) Brand awareness

